

Conference Call Notes: Oil Markets in Crisis

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Conference Call Note

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Conference Call Notes: Oil Markets in Crisis

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The US-Iran standoff is expected to persist through year-end; neither side is close to a deal, and the US is in a wait-and-see posture rather than pursuing decisive escalation or negotiation.

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Brent is forecast to trade in a \$90–\$110/bbl band for the remainder of the year; Chinese import levels and regional oil flows are the two key variables that could push prices outside that range.

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Middle distillates are the acute pressure point globally — diesel, heating oil, and marine bunker fuel are all in structural shortage across the US, Europe, and Asia, with Q1 2027 flagged as a potential crisis point if the standoff persists.

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Speakers:

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Conor Frydenborg, Associate, Energy & Resources, Eurasia Group (Moderator)

The Standoff: No Deal, No Escalation

The US-Iran conflict is most likely to persist as a protracted standoff through the midterm elections in November and through year-end. The two sides remain far apart. Iran is demanding US acknowledgment of its control over the Strait of Hormuz (in a deal with Oman), a return to the June memorandum of understanding (MoU), release of frozen Iranian funds, and restoration of oil sanctions

waivers. The US continues to reject all of these terms and insists on a return to the pre-war Strait status quo.

The US posture is best described as wait-and-see rather than a decisive strategy. The administration sees time as on its side, citing improved oil flows through the Strait as evidence that pressure tactics are working. Resistance to escalation is equally strong: US munitions stockpiles are strained, and a significant military strike on Iran is expected to trigger retaliation that would cause further damage to regional energy infrastructure. In one recent exchange, the US and its allies reportedly fired over 70 air interceptors to counter roughly 20 Iranian ballistic missiles — and some still got through, damaging at least nine US aircraft.

A post-midterm escalation is assessed as a modestly higher risk, as the administration has reportedly signaled openness to exploring escalation options after the vote. But structural obstacles remain.

Oil Price Outlook: \$90–\$110, With Asymmetric Upside

Brent is expected to trade in a \$90–\$110/bbl band through year-end. Brent front-month reached \$109/bbl last week; dated Brent spiked to \$120/bbl approximately two weeks ago on a surge in Chinese spot purchases. The global oil market remains in deficit, with inventories continuing to draw.

Two variables drive the price outlook:

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Regional oil flows: Currently recovered to roughly two-thirds of pre-war levels. If flows rise above two-thirds, modest downward pressure on prices is likely — and the US standoff posture would be reinforced. The Saudi Arabia east-west pipeline, struck at three to four locations by Iranian-directed Iraqi militias, is expected to resume flows within a week but may take a month or more to return to full capacity. The Houthis have also advanced to a more commanding position over the Bab el-Mandeb, and attacks on civilian vessels in that zone are now roughly as frequent as in the Strait of Hormuz.

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Chinese seaborne crude imports: Still well below pre-war levels (below 8 million barrels per day versus above 10 million barrels per day before the war), but rising. A continued increase would push prices toward the top of the band or above; a pullback would apply downward pressure.

Shipping: A Crisis Beyond the Strait

The maritime crisis has spread across the entire Arabian Peninsula. VLCC (Very Large Crude Carrier) one-year charter rates now exceed \$150,000/day globally; for a Middle East-to-China route, rates exceed \$1 million/day. A Suezmax tanker loaded with approximately 1 million barrels of crude has been abandoned and is leaking near the Yemen-Oman border.

Multiple navies are active in the region — the US (providing two daily transit windows through the Strait), European navies (focused on Red Sea air defense, with at least five assets deployed), the UK Royal Navy (conducting mine reconnaissance in the Strait), and India and Pakistan (providing air defense for their own vessels in the Gulf of Oman). China has a naval presence but is not providing

active air defense, relying instead on vessel identification to deter attacks. These actors do not coordinate with one another.

Distillates: The Real Crunch

US retail diesel has risen by over \$1/gallon in a month to approximately \$6.45/gallon, with every US state now averaging above \$6. The tightness reflects multiple converging factors: reduced Middle East refining output, a sharp decline in Russian refined product exports due to Ukrainian strikes on Russian refinery infrastructure, and structural middle distillate shortages predating this conflict.

In Europe, the concern is heating oil and natural gas ahead of winter — both are in short supply simultaneously in Germany and the Benelux. In Southeast Asia, marine bunker fuel is the pressure point. In South Asia, LPG shortages persist. Speakers flagged Q1 2027 as the period of greatest risk: if the standoff continues, inventories will be drawn down through winter, and a cold snap could produce acute shortages.

US Policy Levers: SPR and Export Restrictions

Two near-term policy options are under consideration:

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Additional SPR release: Approximately 30 million barrels remain from the current authorized release. Secretary Wright hinted at a possible second release. Physical space exists for a smaller additional release, though the administration is approaching limits that could damage salt cavern storage infrastructure.

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Refined product export restrictions: Not the current base case. Senate Majority Leader John Thune (R-SD) raised the possibility this week. US refiners would strongly oppose this. If enacted, it would likely be time-limited and targeted at diesel specifically, likely invoked under the International Emergency Economic Powers Act (IEEPA) authority rather than as a full ban.

Broader Market Spillovers

Aluminum: Smelters in Abu Dhabi, Bahrain, and Qatar have been hit. Gulf states previously met approximately 9–10% of global aluminum demand. Restarting smelters can take months, potentially a year. Prices are expected to remain elevated for the duration of the crisis.

Helium: Qatar previously supplied roughly one-third of the world's helium. An estimated 5% of the global supply is structurally off the market, with shipping constraints restricting additional volumes. No acute semiconductor or aerospace shortage is assessed at present, but shortages are expected to persist at least through 2027. A risk flag: China sources a significant helium supply from a facility in eastern Russia, in an area where Ukrainian drone strikes have occurred. Speakers are monitoring this

but are not forecasting a strike.

European gas: Eurasia Group expects to publish updated winter gas stock forecasts and price bands shortly. Current assessment: Europe is likely to get through the winter without emergency measures, but stocks are tight.

Key Watch Items

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Regional oil flow recovery: Whether flows move above two-thirds of pre-war levels — the threshold that would extend the US standoff posture and apply downward price pressure.

2.

Chinese crude import trajectory: A continued rise would push Brent toward or above \$110/bbl; a pullback would provide relief.

3.

Saudi east-west pipeline restoration: Timeline to full pumping capacity (estimated one month or more), and whether Iranian-directed militias attempt a follow-on strike.

4.

Post-midterm US escalation options: The administration has signaled it may revisit military options after the midterm elections. Watch for any shift in posture.

5.

US refined product export restrictions: Monitor for further signals from the administration and Congress, particularly as diesel prices continue to rise.

6.

European gas and heating oil inventories heading into Q1 2027: The period of greatest risk for acute product shortages if the standoff persists through winter.

What Clients Are Asking

Trump administration sensitivity to oil prices ("TACO" factor): Clients questioned why the administration appears less responsive to market pressure than expected. Speakers noted the administration views current conditions as better than feared (expectations had been for \$150–\$175/bbl crude), is responding at the margins (SPR, refiner pressure, potential export restrictions), but has not moved toward a deal, and even if it wanted one, Iranian demands remain very difficult for the US to accept.

Iraqi militia strike on the Saudi east-west pipeline: Clients asked why Iranian-directed Iraqi militias, rather than the Houthis, carried out the attack. Speakers explained the Houthis have greater autonomy and are focused on extracting concessions from Saudi Arabia for a Yemen settlement — not on maximizing pressure on the US. Iraqi militias are more directly an Iranian instrument and provide Iran with plausible deniability.

China's role — amplifier or absorber of the oil shock: Speakers assessed China as currently absorbing rather than amplifying the shock. Chinese imports remain well below pre-war levels. The recent uptick likely reflects domestic refiners capturing high crack spreads by importing discounted crude and

exporting refined products — a commercial rather than geopolitical calculation. Notably, China's earlier pullback from imports inadvertently weakened Iran's pressure mechanism against the US.

GCC-Iran deal as a face-saving off-ramp for the US: Speakers outlined a three-step process: (1) Iran-Oman deal — essentially done; (2) GCC acceptance of that deal — in progress; (3) US concessions, including return to the June MoU — the hardest step and the binding constraint. Even a GCC-Iran agreement would not reopen the Strait without US concessions that the administration currently resists.

US diesel export restriction — is it the base case?: Speakers confirmed it is not the current base case. It is under increasing consideration, would likely be targeted at diesel and time-limited under IEEPA authority, and would face strong industry opposition. Coverage forthcoming.

Please note that while this AI-generated summary has been checked for accuracy against the source material, it may not capture every nuance or qualifier from the discussion. The full transcript or audio should be consulted for complete context.

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